HAI on Optimism: a technically elegant stablecoin that the market has largely rejected

HAI is not dead — but it is functionally irrelevant. The reflexer-style, non-pegged stablecoin protocol on Optimism, built as a multi-collateral successor to RAI, launched in February 2024 with genuine technical innovation and a credible team. Sixteen months later, it holds roughly **$1–2 million in TVL**, has just **740,000 HAI tokens** in existence, trades about **$18,000 daily**, and its governance token KITE has collapsed **97% from its all-time high**. CoinGecko The team still commits code — GitHub repos show activity through February 2026 — but on-chain metrics paint a picture of a protocol the DeFi market has passed by. Understanding why requires examining both HAI's specific execution and the deeper structural reasons why reflexer-style stablecoins repeatedly fail to gain traction.

How HAI works: a floating stablecoin governed by control theory

HAI is a **multi-collateral, over-collateralized stablecoin** deployed on Optimism, Medium Medium forked from the RAI/GEB framework created by Reflexer Finance. Medium Medium Users deposit collateral into vaults (called SAFEs) and mint HAI against it. Medium +2 The protocol's distinguishing feature is that HAI does not target a fixed $1 peg. Instead, it uses a **PI (Proportional-Integral) controller** Mirror — borrowed from industrial control theory — to maintain stability through a floating "redemption price" that adjusts dynamically. Medium Medium

The system operates through two prices. The **market price** reflects what HAI trades for on DEXes like Velodrome and Curve. The **redemption price** is the protocol's internal target, Medium +2 which started at $1.00. Medium When market price exceeds the redemption price, the controller sets a negative redemption rate, making borrowing cheaper and incentivizing more HAI minting (expanding supply, pushing price down). When market price falls below redemption price, the opposite occurs. The Defiant +3 HAI currently runs in **integral-only mode** (proportional gain disabled), producing smoother adjustments that avoid reacting to short-term noise. Letsgethai

Supported collateral types include **WETH, wstETH, OP,** Mirror **tBTC, and VELO** (via a custom haiVELO wrapper that converts veVELO positions into vault collateral). Medium Each collateral type has independently governed parameters — minimum collateral ratios (200% for haiVELO), stability fees, and debt ceilings. Letsgethai The protocol also features three auction types: collateral auctions for liquidations, debt auctions that mint KITE as a last resort to cover bad debt, and surplus auctions that **burn KITE** using excess stability fees Medium — creating a deflationary mechanism when the system is healthy. Medium

HAI v2 introduced a **Stability Pool** (inspired by Liquity's design) as the primary liquidation mechanism, replacing v1's auction-only approach. Depositors receive sHAI, a yield-bearing token earning stability fees, liquidation profits, and KITE emissions. Letsgethai The Automated Liquidation Profit Sharing (ALPS) system automates collateral disposal from liquidated vaults. letsgethai

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From RAI's ashes: the origin story and what changed

HAI's story begins with RAI's failure. Reflexer Finance launched RAI on Ethereum mainnet (Mirror +2) in February 2021, raising $5.8 million (Crunchbase) from Paradigm and Pantera. (Mintventures) RAI peaked at over **$300 million in TVL** (CoinGecko) and landed integrations with Aave, Cream, and a Coinbase listing. (Mintventures) Then it entered a slow death spiral. By early 2023, its market cap had crashed 90% to roughly $8 million. (The Defiant) Today, RAI sits at approximately **$1.7 million market cap with 560,000 tokens outstanding** (Coinbase) — functionally a zombie protocol. (dankradfeist)

The co-founder's post-mortem was unusually candid. **Ameen Soleimani publicly admitted in January 2023 that "ETH-only RAI was a mistake."** (The Defiant) After Ethereum's merge, locking ETH in a CDP meant forgoing 3–5% annual staking yield, creating a permanent structural opportunity cost. (Mirror) This drove persistently negative redemption rates, (Mirror) meaning RAI's price slowly bled value against the dollar. (The Block) (Mirror) Vitalik Buterin demonstrated this by **profiting $92,000 shorting RAI** over seven months in 2022–2023. (The Block) (Crunchbase) Worse, RAI's governance-minimization philosophy meant the team literally could not add stETH as collateral without restarting the protocol entirely. (Medium) When Soleimani proposed relaunching, Reflexer's developers threatened to quit. (The Defiant)

HAI was announced in **April 2023** on the Reflexer forum as the answer to these failures, with several specific design corrections. (TokenInsight) Multi-collateral support (especially yield-bearing wstETH) addresses the opportunity cost problem. (Mirror) (Medium) An initial redemption price of $1.00 (versus RAI's cryptic $3.14) makes mental math possible. (Mirror +2) Deployment on Optimism L2 slashes gas costs. (Medium) (DL News) Active governance from day one allows parameter adjustments and collateral additions. (reflexer) (Mirror)

The testnet launched in June 2023. (TokenInsight) After delays — mainnet was originally targeted for July 2023 — (TokenInsight) **HAI launched on Optimism on February 20, 2024**. (The Block) (Binance) Eight days earlier, the KITE governance token was airdropped: (X) **22.3% of the** (CoinLive) **100 million supply distributed to 18,034 wallets**, (reflexer) including Reflexer users, HAI testnet participants, and Optimism governance voters. (Binance +2) Development was led by DeFi Wonderland, with seed funding from SpankChain (Medium) (Soleimani's company) and technical support from ReflexerDAO. (Reflexer +2)

The numbers tell a stark story

Every quantitative metric points to a protocol that has failed to achieve meaningful adoption. The data as of early 2026:

Metric	Value	Signal
HAI circulating supply	~740,000 tokens	Minimal adoption
HAI daily trading volume	~$18,000	Negligible
KITE price	~$1.00–1.25	Down 97% from $33.73 ATH
KITE market cap	~$857K–$1.07M	Micro-cap
KITE 24h volume	$269–$1,887	Near-zero
Main KITE/HAI pool liquidity	~$25,000	Dangerously thin
Unique daily traders (KITE pool)	4–8 people	Almost no users
HAI market price	~$1.30–1.40	Above $1 target (positive drift)

The KITE/HAI pool on Velodrome shows **52 daily transactions, 4 unique buyers, and 8 unique sellers** — with sell pressure dominating. (DEX Screener) Any trade above a few thousand dollars would cause severe slippage. HAI's total supply of 740,000 tokens (CoinGecko) means the entire stablecoin's existence represents less than **$1 million** in value. (CoinGecko) For context, the DeFi stablecoin market exceeded $260 billion in 2025. (DL News +3) HAI's share is approximately **0.0000003%** of that market.

One potentially positive signal: HAI appears to be trading above its initial $1 redemption price at $1.30–1.40, suggesting the redemption rate has trended positive — exactly what Soleimani predicted multi-collateral support would enable. This validates one of HAI's theoretical improvements over RAI. But the extreme illiquidity makes this price largely meaningless; it may simply reflect a supply squeeze in a near-empty market.

Why reflexer-style stablecoins face structural headwinds

HAI's struggles are not merely an execution failure — they reflect **fundamental design tensions** in the non-pegged stablecoin model that have now been tested twice and failed twice at scale.

The floating price kills composability. Nearly 99% of the ~$307 billion stablecoin market is USD-pegged. (Wikipedia) (DefiLlama) Every major DeFi protocol — Aave, Compound, Uniswap, Curve — prices in dollars. Curve's stableswap pools are optimized for assets near $1. A stablecoin trading at $1.35 (and rising) doesn't fit into existing infrastructure without custom oracle work, modified pool types, and user education. Every integration requires additional engineering effort that protocols have little incentive to invest in for a sub-$1M stablecoin.

Cognitive load is a real adoption barrier. Using HAI requires understanding vaults, collateral ratios, redemption prices, market prices, redemption rates, PI controllers, stability fees, and liquidation mechanics —

all for an asset whose price is a moving target. Compare to USDC: buy for $1, hold, spend. Reflexer's own documentation acknowledged PID controller failure modes including manipulation via thin liquidity and markets potentially "not reacting to redemption rate incentives." (Reflexer) Even sophisticated DeFi users find this confusing. One analyst asked: "Would any average developer make any sense of such statements?" (Substack)

The negative interest rate trap. Ethereum Foundation researcher Dankrad Feist provided the clearest analysis: "Decentralized stablecoins require negative interest rates most of the time" because demand for holding exceeds demand for borrowing. (Dankrad Feist) This means holders structurally lose purchasing power relative to USD. While HAI's multi-collateral design appears to have partially solved this (Mirror) (price trending above $1), the fundamental tension remains: if the rate turns positive, HAI holders gain but borrowers face rising costs, potentially shrinking supply. If it turns negative, holders bleed value. (Mirror) Neither outcome creates the simple, stable experience users expect from a stablecoin.

Liquidity is reflexive — and the reflexivity works against niche stablecoins. Liquidity attracts liquidity. With only $25,000 in its main trading pool, (DEX Screener) HAI cannot serve any practical DeFi purpose — no serious trader, treasury, or protocol would integrate an asset with this liquidity depth. But without integrations and usage, liquidity won't grow. This negative feedback loop is nearly impossible to escape without massive incentive spending, (Reflexer) and HAI's treasury is limited.

The team persists, but attention has drifted

HAI is **not abandoned** — but it operates in maintenance mode with minimal resources. GitHub repositories show consistent commits through February 2026, with the core smart contracts, app frontend, and SDK all receiving recent updates and open pull requests. (GitHub) KITE staking launched in **May 2025**, streaming 50,000+ HAI from protocol surplus to stakers alongside KITE and OP rewards. (X +2) The Twitter account (@letsgethai, ~3,010 followers) posted as recently as January 6, 2026. (X) Surplus auctions continue to burn KITE (~2.6% of total supply burned to date). (Instalker)

However, the founder's focus has clearly shifted. **Ameen Soleimani's primary project in 2025–2026 is 0xbow.io** (Privacy Pools), where he serves as CTO. (ETHDenver) (Instalker) His ETHDenver 2025 and ETHDam 2025 talks focused on privacy technology, not HAI. (Google) He still lists HAI in his profiles but no longer appears to champion it actively. The @ImSuperHAI account teased an Alchemix collaboration ("Something is brewing") but no confirmed details materialized. (Instalker) No blog posts have appeared since the 2024 launch period. Governance activity on the Tally-based system appears minimal, with no significant proposals surfacing in searches for 2025. (Medium)

The team is small — key members include co-founder Luke Hamilton, (Medium) contributor Reza Jafery (who also describes himself as a "missionary @reflexerfinance"), and a few developers. (The Block) (Instalker) DeFi Wonderland handled initial development (Medium) as a contract engagement. (Medium) The HAI DAO sponsors the Superchain podcast, suggesting some treasury is still being deployed for awareness. (Instalker)

What you might be missing — and what probably won't save it

Several developments suggest HAI hasn't been entirely static:

- **haiVELO integration** represents genuine innovation — wrapping veVELO positions into collateral creates a unique yield source not available elsewhere. Letsgethai If Velodrome's ecosystem grows, haiVELO could become more attractive.
- **KITE staking with OP rewards** launched May 2025, adding real value capture for governance token holders. X X
- **The positive redemption rate** (HAI trading above $1) validates the multi-collateral thesis and distinguishes HAI from RAI's persistent negative drift.
- **GitHub activity through February 2026** indicates the smart contracts and app are still being actively maintained and improved, with HAI v2 representing a substantial architectural upgrade. GitHub
- **Optimism grant recipient** status means the protocol had some external funding Medium beyond SpankChain's seed. Medium

But these developments face a brutal market reality. The DeFi stablecoin market in 2025–2026 has moved decisively toward **simplicity, yield-bearing stablecoins** DL News **(Ethena's USDe, Aave's GHO), and regulatory clarity** — exactly the opposite direction of HAI's complex, non-pegged, governance-minimized model. The broader trend, confirmed by DeFi TVL reaching $225 billion in 2025, CoinLaw is that users want straightforward, dollar-denominated yield products. Phemex A stablecoin that requires a control theory textbook to understand is swimming against the current.

Conclusion: technically right, commercially wrong

HAI represents the second rigorous attempt to build a reflexer-style stablecoin, and the second time the model has failed to find product-market fit. The protocol addressed RAI's specific failures — multi-collateral support, L2 deployment, Medium starting at $1, TokenInsight active governance Medium +3 — and the positive redemption rate suggests the mechanism actually works better than its predecessor. The team still ships code. The contracts function. KITE burns continue.

None of it matters if nobody uses it. **740,000 tokens outstanding, $25,000 in liquidity, and 4 unique daily buyers** do not constitute a functioning stablecoin. The core lesson, demonstrated by both RAI and HAI, is that **mechanism correctness is necessary but wildly insufficient for stablecoin adoption**. The market has spoken clearly: users want dollar pegs, deep liquidity, simple mental models, and broad composability. HAI offers none of these things.

The honest assessment is that HAI exists in a peculiar twilight — technically alive, economically irrelevant, philosophically important. It proves that a decentralized, censorship-resistant, non-pegged stablecoin *can* work

as designed. Dankrad Feist It also proves that almost nobody wants one. Unless the team executes a significant pivot, secures major protocol integrations, or benefits from a regulatory crackdown on centralized stablecoins that drives users toward censorship-resistant alternatives, HAI is likely to continue its slow fade. It's not dead — it's just a monument to an idea the market wasn't ready for, and may never be.